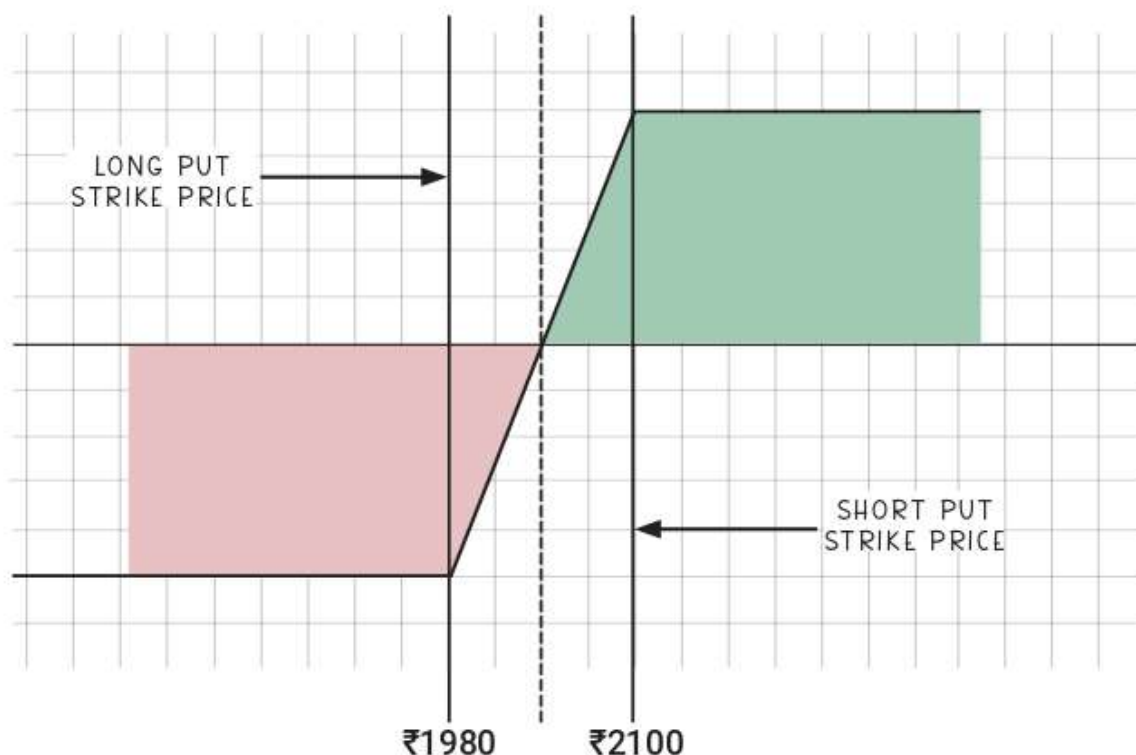




The maximum profit that we can have under this strategy is ₹80 from current position and maximum loss is limited to ₹40. We can see that the maximum profits and losses are limited under this strategy.

This setup helps us limit our downside as well as our upside. Also, it reduces our premium cost involved in creating this protection for our position. Essentially, we are creating collars around the position to cap our exposure to potential profits and losses as the market price moves. These are very commonly used to hedge positions.